

TENNESSEE | LOOKOUT

What to know: The new Ford BlueOval City plant poised to reshape West Tennessee

BY: CASSANDRA STEPHENSON - SEPTEMBER 13, 2024 5:01 AM



📷 Ford BlueOval City, photographed while under construction in April 2023. (Photo: John Partipilo)

A new Ford Motor Company electric vehicle and battery manufacturing plant is expected to supercharge development in West Tennessee.

State officials predict the plant will bring thousands of new jobs and tens of thousands of new residents to areas currently dotted with small cities and farmland. Surrounding communities are bracing for change – both positive and negative – as construction continues and adjusts to a constricting electric vehicle market.

Here's what to know about BlueOval City, the roughly 6-square-mile campus poised to change the fabric of rural West Tennessee.

What is BlueOval City, and where is it?

BlueOval City is a \$5.6 billion campus that will ultimately feature new electric vehicle and battery manufacturing facilities, a supplier park, a railyard connection and a wastewater

treatment plant. The battery manufacturing plant will be operated by BlueOvalSK, a joint venture between Ford and SK On.

Ford's new campus will be among the largest battery and vehicle manufacturing campuses in the United States. Its footprint will be constructed on about 3,300 acres of farmland previously called the "Memphis Regional Megasite."



📷 Ford Motor Company's BlueOval City is under construction in West Tennessee. (Map: U.S. Department of Energy Loan Programs Office)

BlueOval City lies mostly in the southwestern corner of Haywood County, about 2.5 miles south of Stanton, a community with less than 600 residents. The site is sandwiched between an existing CSX railway near U.S.

Route 70 and Interstate 40.

What is the timeline?

Ford [announced its plans](#) for the BlueOval City campus in Stanton in 2021. Initially, production of Ford's new all-electric, next-generation pickup truck was anticipated to begin in 2025.

But [slowing demand](#) and heightened competition in the electric vehicle market spurred Ford to adjust its course in August, [pushing back production](#) at the new Tennessee Electric Vehicle Center until 2027. The decision was part of a slate of changes to the Michigan automaker's electric vehicle strategy, including prioritizing hybrid vehicles, scrapping plans for an all-electric three-row SUV and scaling back annual spending on pure electric vehicles by about 10%.

The longer timeline will allow Ford to refocus on lower-cost battery production at BlueOval City's battery manufacturing plant, which is expected to begin producing cells in late 2025.

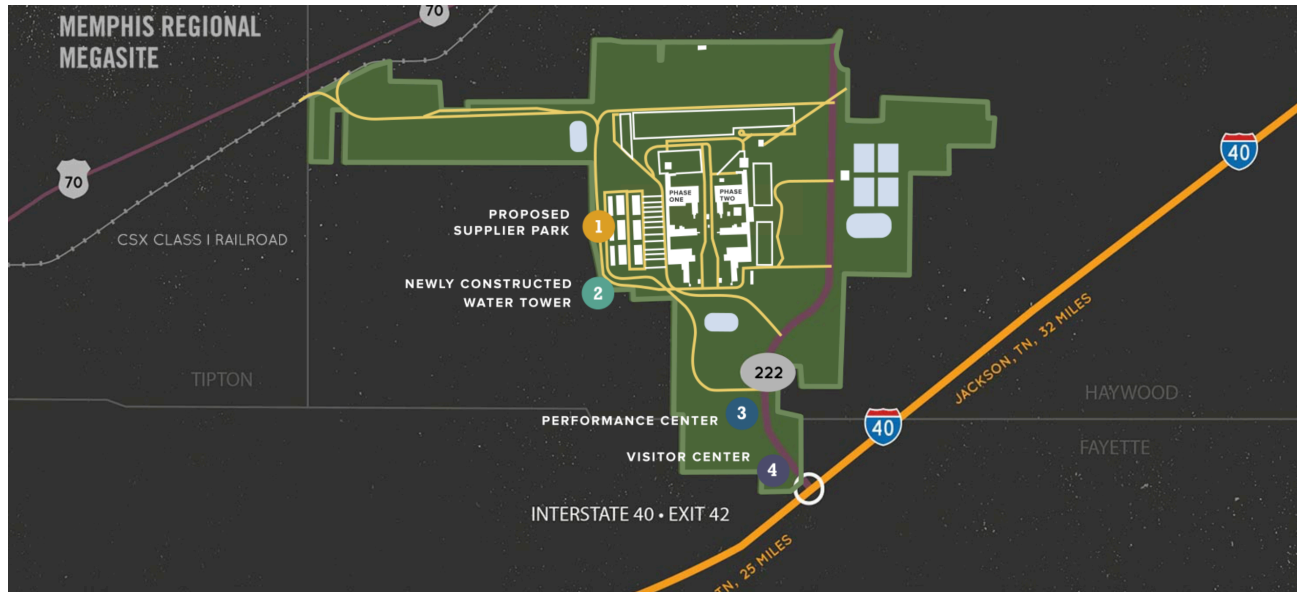
What incentives did Ford receive to build the plant in Tennessee?

Tennessee lawmakers approved a [\\$900 million incentive package](#) for Ford in October 2021, including a \$500 million reimbursement for construction work on the megasite.

The remaining state contributions will foot the bill for a new \$40 million college of applied technology and several infrastructure projects and related costs:

- \$200 million to build a road interchange
- \$138 million for water treatment facilities and a wastewater line to the Mississippi River
- \$21 million for workforce training
- \$5 million for local government consulting

Ford will lease the property from the state and pay \$269 million in lieu of taxes on the property over 30 years.



📷 A site plan of the Memphis Megasite. (Photo: Tennessee Department of Economic and Community Development)

To receive the full \$500 million grant, Ford and BlueOvalSK (the joint venture battery company) must create at least 90% of the roughly 5,800 promised jobs in 10 years. Failure to meet at least 80% of that workforce by 2032 would trigger clawbacks – Ford and BlueOvalSK would each pay part of the \$500 million in addition to \$175 million for the value of the state’s donated land.

Despite the site’s new production timeline, a spokesperson said Ford remains confident it will meet the incentive requirements.

The state’s contributions are earmarked to come from a \$2.2 billion pot of surplus funds from fiscal year 2021.

BlueOvalSK will also benefit from federal incentive programs supporting domestic manufacturing of “clean energy” technology. The joint venture was granted a conditional loan of **up to \$9.2 billion** by the U.S. Department of Energy under President Joe Biden’s Inflation Reduction Act. The funding will help construct the battery plant in West Tennessee as well as two plants in Kentucky.

The Tennessee Valley Authority will install a 40-acre substation to serve BlueOval City's energy needs, according to the utility giant's [website](#).

Who's in charge?

Legislation in late 2021 created an 11-member [Megasite Authority of West Tennessee](#) to handle development at the site and surrounding areas. The authority is made up of 7 voting members and four ex officio members, including Gov. Bill Lee.

The authority's board of directors is next scheduled to meet on Sept. 18 from 10 a.m. to 2 p.m. in Jackson.

A previous meeting slated to be held in Jackson in July was canceled.

What could Tennessee get out of the deal?

The project overall is expected to generate 27,000 new jobs and \$1.02 billion in annual earnings, according to the Tennessee Department of Economic and Community Development's research division. Of that total, 21,300 jobs are considered "indirect" or "induced," meaning employees that are not employed by the campus but support its operations or company employees and their families.

The project is expected to create 5,760 direct new jobs over a 10-year period. Ford officials specified that the vehicle manufacturing plant will employ 3,000 of those workers, and the remainder will work at the property's BlueOvalSK battery plant.

Construction of the new campus is expected to support 33,000 temporary jobs with \$1.87 billion in salaries, including 15,700 direct construction workers that are projected to earn a combined \$1.05 billion by the end of the project. The construction period is expected to generate \$178.9 million in state sales taxes and \$70.3 million in local sales taxes.

Once it is up and running, BlueOval City is projected to yield \$17.3 million in net fiscal benefits for Tennessee each year. The campus is anticipated to bring in about \$6.8 million in local sales taxes each year.

How could this impact surrounding communities?

The Tennessee Department of Economic and Community Development estimates that more than 176,000 new residents will move to West Tennessee over the next two decades. The region will need an estimated 70,000 new housing units to accommodate that growth. Tennessee think tank The Beacon Center urged West Tennessee officials in August to [overhaul their "outdated and arbitrary" zoning laws](#) that would make it more difficult to build enough right-sized housing for the population boom to come.

On the workforce development front, Ford and SK On are partnering with the Tennessee College of Applied Technology to train students on electric vehicle and battery manufacturing and repair at a new, state-funded Stanton campus that opened in June. Ford also launched [BlueOval Learning](#), a program that supports STEM curricula and manufacturing training in K-12 schools in addition to partnerships with colleges.



📷 A community meeting held by BlueOval Good Neighbors Committee in Mason, Tenn. (Photo: Submitted)

The company also awarded [\\$1.2 million in grants](#) in 2023 to West Tennessee nonprofits to “help build capacity and infrastructure,” according to Ford’s website. Ford has promised to introduce its “Good Neighbor Plan” developed by its Equitable Growth Advisory Council in the coming weeks.

But BlueOval Good Neighbors, part of

organizing coalition Tennessee for All, is [seeking a legally binding Community Benefits Agreement](#) with Ford. The group, which includes West Tennessee residents, says Ford has not responded to their call for such a commitment. BlueOval Good Neighbors has also called the makeup of the Equitable Growth Advisory Council into question, claiming the council’s structure dampens “grassroots” engagement, allowing community members to provide input on the process but not hold actual decision-making power.

The coalition is concerned that rapid development will worsen racial and economic divide in the West Tennessee region and cause the cost of living and housing to rise, pricing out current residents, especially in majority-Black, low-income communities surrounding the site.

They point to several issues that have already arisen since the project’s announcement in 2021.

As Tennessee seeks land for road projects linking to the BlueOval City campus, Black farmers have [reported](#) receiving purchase offers [well below market rates](#).

In March 2022, state officials [attempted to take over the charter](#) of the City of Mason, a small town just five miles from BlueOval City. Many of the city’s nearly all-white leadership resigned

in 2016 amid fraud and mismanagement allegations, but Mason is now helmed by a new, majority-Black City Hall that says it's made progress toward fixing the problems they inherited. Ultimately, the state and Mason reached a [less drastic resolution](#).

The [closure of a community center](#) about two miles down the road from the new plant further inflamed the Mason community in August. Fayette County Mayor Rhea "Skip" Taylor said he temporarily closed the center's doors and the Fayette County Commission changed the rules to prohibit private events (which were historically allowed) because of county property use and sale concerns. Blue Oval Good Neighbors said the sudden closure of the community staple is suspect – in their view, the only thing that has changed is the plant taking shape down the street.

What environmental impacts could this have?

Environmental concerns around BlueOval City center on possible pollution, water use and [impacts on the Memphis Sand Aquifer](#), an underground cache protected by layers of clay that provides high-quality drinking water to Memphis.

[Protect Our Aquifer](#), a nonprofit group formed in 2016 to protect Memphis' drinking water source, is concerned that without proper precautions, paving large portions of the land could prevent rainfall from reaching key recharge zones, starving the aquifer of needed replenishment.

They also fear that toxins could leech into the groundwater at vulnerable spots if spills are not immediately remediated.

"While Ford has made progressive commitments to sustainability and water management in their development, we must ensure that surrounding residential, industrial and commercial development in West Tennessee prevents groundwater pollution and allows for aquifer recharge," the organization's [website](#) states. "This means pushing for green infrastructure, water conservation, and low-impact development. The more concrete is poured, the less water our aquifer gets!"

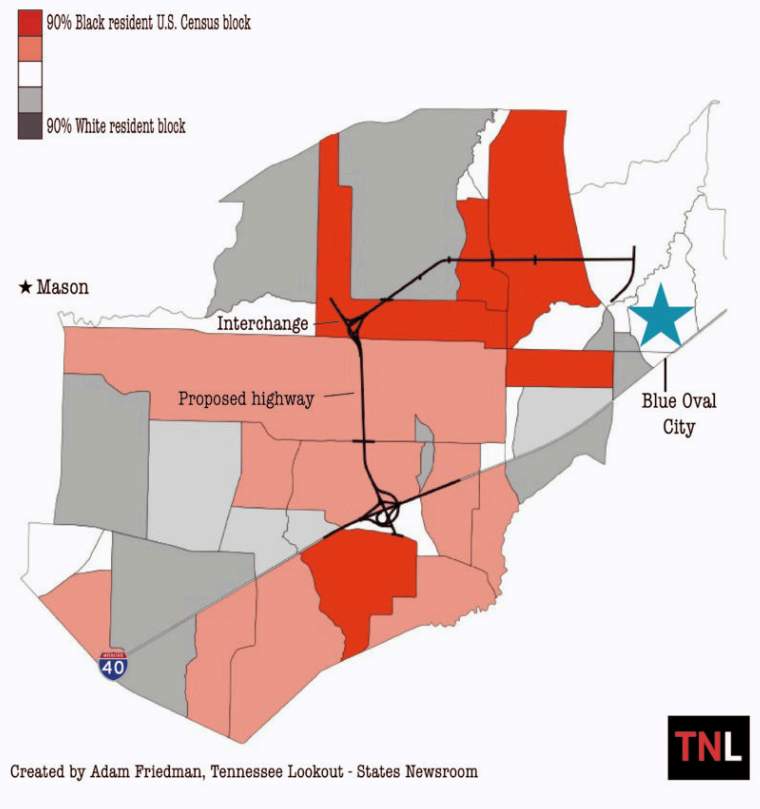
The land includes about 41 acres of wetlands, three ponds and more than 40,400 feet of streams, most of which will be avoided, according to project permits. Construction will permanently change parts of six streams, two ponds and two wetlands on the property.

BlueOval City will "mitigate" the water resource loss by purchasing credits from the [Hatchie River Wetland Mitigation Bank](#), a wetland restoration project established and operated by the Tennessee Wildlife Resources Foundation.

The battery plant alone is expected to encompass 219 acres, including a 72-acre building, 35 acres of roads, sidewalks and parking and five acres of additional buildings. Stormwater retention basins will claim seven acres.

The path of TDOT's new highway to Blue Oval city

The new road will require eminent domain through predominantly Black-owned farms. Most of the farms fighting TDOT are located in the path of a proposed interchange.



Graphic showing the path of TDOT's new highway connection Blue Oval City to Interstate 40. (Graphic produced by Adam Friedman for the Tennessee Lookout.)

The health of the aquifer and the wetlands that feed into it are a major focus point for environmental advocates.

In February, developers with ties to the new Ford plant [pushed for weaker wetland rules](#) in the state legislature in hopes of stripping back state oversight of construction on wetlands. The bill was [ultimately shelved](#) for the remainder of the session.

The Megasite Authority will provide up to 7 million gallons of water per day to the battery plant through a series of seven groundwater wells. The facility will require around 1.2 million gallons of water per day, according to an environmental assessment.

Wastewater will be treated on-site and then piped to the Mississippi

River or returned to the BlueOval City assembly plant. Sealed floors, special flooring and dedicated wastewater collection and treatment should “ensure that the heavy metals used in manufacturing do not have any contact with water runoff or soils,” the [environmental report](#) states.

Ford lists a [sustainability goal](#) of “zero water withdrawals for manufacturing processes,” leaving fresh water for only human consumption. But the timeline for this is unclear, and a Ford representative did not respond to requests for comment.

Anita Wadhwani, Sam Stockard and Adam Friedman contributed.